ATLAS
RETAIL BANK

Atlas Retail Bank, N.A.
1450 Harborview Avenue, Baltimore, MD 21202
www.atlasretailbank.example

LEGAL & COMPLIANCE · ATL-CMP-001

BSA/AML & OFAC Compliance Program Summary

How Atlas detects, prevents and reports money laundering, terrorist financing and sanctions violations

Document ID	ATL-CMP-001	**Version**	11.0
Effective date	2026-02-01	**Next review**	2027-02-01
Policy owner	Raymond Castellano, BSA/AML Officer	**Approved by**	Board of Directors (annual approval, 22 January 2026)
Applies to	All Atlas associates, subsidiaries and third-party service providers	**Classification**	Internal - summary approved for external distribution to correspondents

1. Program overview

Atlas maintains a Bank Secrecy Act / Anti-Money Laundering (BSA/AML) program reasonably designed to comply with the BSA (31 U.S.C. 5311 et seq.), the USA PATRIOT Act, the Anti-Money Laundering Act of 2020, OCC regulations (12 CFR 21.21) and FinCEN regulations (31 CFR Chapter X). Sanctions compliance follows OFAC regulations (31 CFR Chapter V).

The program has the required **five pillars**:

Pillar	How Atlas meets it
1. System of internal controls	Risk assessment, CIP/CDD/EDD, transaction monitoring, sanctions screening, reporting
2. Independent testing	Annual audit by Internal Audit; triennial external model validation
3. Designated BSA Officer	Raymond Castellano, reporting to the Chief Compliance Officer and the Board Risk Committee
4. Training	Annual for all associates; enhanced modules for frontline, operations and lending
5. Customer due diligence	Risk-based CDD, beneficial ownership and ongoing monitoring

2. Risk assessment

The enterprise BSA/AML risk assessment is refreshed each year, and after any major change (new product, acquisition, new geography). It considers: - **Products and services:** cash, wires, Zelle, ACH, remote deposit capture, prepaid cards, safe deposit boxes - **Customers:** MSBs, cash-intensive businesses, third-party payment processors, non-resident aliens, PEPs - **Geographies:** HIDTA/HIFCA areas (e.g. New York/New Jersey, Miami, Baltimore-Washington); high-risk countries for wires - **Delivery channels:** branch, online, mobile, ATM

3. Customer due diligence

- CIP at account opening (see ATL-CUS-001).
- Beneficial ownership for legal-entity customers.
- Customer risk rating, recalculated on trigger events and at least every 12 months (high), 24 months (moderate) or 36 months (low).
- **Enhanced Due Diligence** for high-risk customers: source of funds and wealth, expected activity, site visits for cash-intensive businesses, and senior management approval for PEPs.
- **Prohibited relationships:** shell banks, unlicensed MSBs, online gambling operators without a valid state licence, marijuana-related businesses, and virtual-asset service providers without Board-approved risk appetite.

4. Transaction monitoring

- Automated monitoring of 120+ scenarios (structuring, rapid movement of funds, funnel accounts, elder exploitation patterns, human-trafficking typologies, check kiting).
- Alerts are reviewed within **30 days**. Cases are escalated to the Financial Intelligence Unit (FIU).
- Model tuning is validated each year. Below-the-line testing is done every six months.

5. Regulatory reporting

Report	Threshold / trigger	Deadline
Currency Transaction Report (CTR)	Cash in or out over USD 10,000 by or for one person in one business day	15 calendar days
Suspicious Activity Report (SAR)	Suspicious activity of USD 5,000+ with a suspect; USD 25,000+ regardless of suspect; any amount for insider abuse	30 days from detection (60 days if no suspect identified)
Continuing-activity SAR	Ongoing suspicious activity	Every 90 days, then filed within 120 days of the previous SAR
OFAC blocking report	Property blocked	10 business days
OFAC reject report	Transaction rejected	10 business days
Annual report of blocked property	Held as of 30 June	30 September
FinCEN 314(a) requests	Search results	14 days

SAR confidentiality: associates must never disclose that a SAR has been or may be filed ("tipping off"). This is a federal crime.

6. Monetary instrument and recordkeeping rules

- Cash purchases of cashier's checks or money orders of **USD 3,000 - 10,000** require ID and are logged (31 CFR 1010.415).
- Funds transfers of **USD 3,000+** keep originator and beneficiary information (Travel Rule, 31 CFR 1010.410).
- Records are retained for **5 years**.

7. OFAC sanctions program

- Real-time screening of wires, ACH (IAT), Zelle, account openings and the customer base (daily rescreen against list updates).
- Potential matches are reviewed within 1 business day. True matches are blocked or rejected and reported to OFAC.
- Atlas does not process transactions involving comprehensively sanctioned jurisdictions (e.g. Cuba, Iran, North Korea, Syria, and the Crimea, so-called DNR and LNR regions of Ukraine) except as licensed.

8. Training

Audience	Content	Frequency
All associates	BSA basics, red flags, escalation, OFAC	Annual
Tellers and personal bankers	CTR, structuring, elder abuse, ID verification	Annual + new-hire
FIU investigators	Advanced typologies, SAR writing	Annual (CAMS certification encouraged)
Board of Directors	Oversight duties, program results	Annual

9. Escalation and contacts

Unusual activity is referred through the **UAR (Unusual Activity Referral) form** on AtlasNet within 1 business day of detection. FIU hotline (internal): ext. 5-0150.

Atlas Retail Bank is a fictional bank created for AI training and demonstration. It is not a real financial institution and its deposits are not FDIC-insured. All names, addresses and numbers are invented.